

thinking post-Enron: “If only we were with Bernie, we would have avoided those losses.”

If only...

The early 2000s pressured Madoff’s fraud. Decimalization—the move away from stock prices quoted in fractions—had reduced the profitable spread between buying and selling prices captured by his legitimate market-making business. That loss of profitability for the firm took a toll, but Madoff was able to ride it out; as it turns out, stealing billions from clients gives you some wiggle room. But once the 2008 financial crisis hit, the full extent of Madoff’s crimes could no longer be hidden. There was a sudden and urgent demand for liquidity across nearly all of Wall Street’s clients—including Madoff’s. The firm’s inability to liquidate supposedly liquid assets revealed Madoff’s Ponzi scheme for what it was.

What we know about the Belfers’ relationship with Madoff is this: They “withdrew more than \$28 million from Madoff’s scheme before it collapsed.”²⁵⁵ Madoff court documents cite “The Arthur and Rochelle Belfer Foundation” as a potential creditor as well as “Belfer Two Corporation, Unknown.”²⁵⁶ We have no idea how much additional wealth they had tied up with the fraudster; we don’t know who referred them to Madoff, or if they referred anyone else.

What we *do know* is that this billionaire family’s unlucky streak was about to get much worse.

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Managing their own portfolio of stocks and bonds did not work out very well for the Belfers, neither did entrusting it to somebody else. Maybe this entire publicly traded *thingy* is an unlucky mess for us! To hell with all this public stock stuff—we need something new and different that isn’t filled with low-life thieves and incompetent weasels.

Enter Sam Bankman-Fried and FTX.

Alameda Research was the wildly successful crypto trading firm SBF (as he